

## Coca-Cola

## Strong Outlook for Underlying Top Line with Better Balance of Growth vs. Peers - Model Update Post 2024 Guidance Commentary

We are updating our estimates for The Coca-Cola Company (KO, Overweight rated) following the company's 4Q23 earnings results ([link](#) to our first reaction note), conference call, and our follow-up group conversation with Robin Halpern, VP & Head of IR.

KO reported another strong quarter from a top-line, margin, and EPS perspective (showing consistency and compounding with last quarters and years) with better than expected top-line performance and strong gross margin. Most importantly, the 2024 outlook was better than anticipated. **Looking to 2024, management sounded confident about the underlying business momentum and we believe KO is well positioned to land at the upper-end of its OSG guidance of +6-7% (which is +100bps faster than the top of the LT algorithm range), despite the "normalization" in consumption (same term used by N-rated PEP during earnings remarks). On the negative side, FX pressures will again be headwind (-4% to -5% impact to EPS and more so to 1Q24 -8%) as well as bottler refranchising (-2% to EPS) and as such, the company's initial guidance calls for more modest EPS growth (+4-5%). We detail more herein. Our Dec-24 target price moves to \$66 (from \$64) applying a 21.9x P/E multiple (one-year average) to our 2025 EPS of \$3.01.**

Separately, Bloomberg reported on February 13th after the close that "Coca-Cola eyes the acquisition of Poppi soda brand". Neither party confirmed. We [met with Poppi co-founder Allison Ellsworth](#) at the Beverage Digest Future Smarts industry conference in December last year, and while (if confirmed) the potential acquisition would have limited impact on KO, we think it could be a good fit for KO in the high growth functional premium sparkling category.

## Overweight

KO, KO US

Price (13 Feb 24):\$59.35

▲ Price Target (Dec-24):\$66.00

Prior (Dec-24):\$64.00

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## Key Changes (FYE Dec)

|                       | Prev   | Cur    |
|-----------------------|--------|--------|
| Revenue - 24E (\$ mn) | 47,692 | 46,500 |
| Revenue - 25E (\$ mn) | 50,069 | 48,515 |
| Adj. EPS - 24E (\$)   | 2.80   | 2.82   |
| Adj. EPS - 25E (\$)   | 2.97   | 3.01   |

## Quarterly Forecasts (FYE Dec)

| Adj. EPS (\$) | 2023A | 2024E | 2025E |
|---------------|-------|-------|-------|
| Q1            | 0.68  | 0.70  |       |
| Q2            | 0.78  | 0.83  |       |
| Q3            | 0.74  | 0.77  |       |
| Q4            | 0.49  | 0.54  |       |
| FY            | 2.69  | 2.82  | 3.01  |

## Style Exposure

| Quant Factors | Current %Rank | Hist %Rank (1=Top) |    |    |    |
|---------------|---------------|--------------------|----|----|----|
|               |               | 6M                 | 1Y | 3Y | 5Y |
| Value         | 83            | 81                 | 81 | 82 | 86 |
| Growth        | 19            | 18                 | 30 | 61 | 96 |
| Momentum      | 55            | 50                 | 49 | 87 | 29 |
| Quality       | 8             | 19                 | 15 | 18 | 71 |
| Low Vol       | 1             | 1                  | 1  | 16 | 1  |
| ESGQ          | 46            | 2                  | 4  | 16 | 30 |

Sources for: Style Exposure – J.P. Morgan Quantitative and Derivatives Strategy; all other tables are company data and J.P. Morgan estimates.

## See page 7 for analyst certification and important disclosures.

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## Price Performance



|     | YTD   | 1m    | 3m    | 12m    |
|-----|-------|-------|-------|--------|
| Abs | 0.7%  | -1.7% | 4.2%  | -2.1%  |
| Rel | -3.1% | -5.3% | -8.0% | -21.8% |

## Company Data

|                            |             |
|----------------------------|-------------|
| Shares O/S (mn)            | 4,321       |
| 52-week range (\$)         | 64.99-51.55 |
| Market cap (\$ mn)         | 256,451.40  |
| Exchange rate              | 1.00        |
| Free float(%)              | 89.8%       |
| 3M - Avg daily vol (mn)    | 14.38       |
| 3M - Avg daily val (\$ mn) | 849.0       |
| Volatility (90 Day)        | 13          |
| Index                      | S&P 500     |
| BBG BUY HOLD SELL          | 22 7 0      |

## Key Metrics (FYE Dec)

| \$ in millions                 | FY23A  | FY24E  | FY25E  |
|--------------------------------|--------|--------|--------|
| <b>Financial Estimates</b>     |        |        |        |
| Revenue                        | 45,784 | 46,500 | 48,515 |
| Adj. EBITDA                    | 14,464 | 15,119 | 16,091 |
| Adj. EBIT                      | 13,336 | 13,988 | 14,812 |
| Adj. net income                | 11,677 | 12,230 | 13,033 |
| Adj. EPS                       | 2.69   | 2.82   | 3.01   |
| BBG EPS                        | 2.68   | 2.81   | 2.99   |
| Cashflow from operations       | 11,599 | 11,492 | 13,705 |
| FCFF                           | 9,747  | 9,274  | 11,387 |
| <b>Margins and Growth</b>      |        |        |        |
| Revenue Growth Y/Y (%)         | 6.4%   | 1.6%   | 4.3%   |
| Total Organic Sales Growth (%) | -      | -      | -      |
| Gross margin                   | 59.7%  | 61.1%  | 61.4%  |
| EBITDA margin                  | 31.6%  | 32.5%  | 33.2%  |
| EBITDA Growth Y/Y (%)          | 6.3%   | 4.5%   | 6.4%   |
| EBIT margin                    | 29.1%  | 30.1%  | 30.5%  |
| Net margin                     | 25.5%  | 26.3%  | 26.9%  |
| Adj. EPS growth                | 8.4%   | 4.9%   | 6.6%   |
| <b>Ratios</b>                  |        |        |        |
| Net debt/EBITDA                | 2.1    | 2.3    | 2.0    |
| ROIC                           | -      | -      | -      |
| ROE                            | 46.7%  | 45.2%  | 43.3%  |
| <b>Valuation</b>               |        |        |        |
| FCFF yield                     | 3.8%   | 3.6%   | 4.4%   |
| Dividend yield                 | 3.1%   | 3.2%   | 3.4%   |
| EV/Revenue                     | 5.9    | 5.9    | 5.6    |
| EV/EBITDA                      | 18.7   | 18.2   | 17.0   |
| Adj. P/E                       | 22.1   | 21.0   | 19.7   |

## Summary Investment Thesis and Valuation

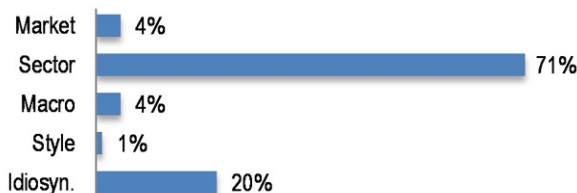
### Investment Thesis

We have an Overweight rating on KO shares. We think Coca-Cola will benefit from economies reopening and is well positioned to reaccelerate organic growth toward the top end of its long-term 4-6% range. KO has undergone a deep positive transformation over the past few years by improving its sales portfolio, refranchising, and consolidating bottling assets globally, setting up new systems and procurement in the US, shifting focus from volume to value growth, and transitioning senior management. While the multi-billion-dollar dispute with the IRS and FX are overhangs, we think these are already reflected in the share price.

### Valuation

Our Dec 2024 price target is \$66, based on 21.9x P/E (1-year average multiple) our 2025 estimates as top-line momentum, better ability to pass through cost inflation, and defensive nature in an uncertain macro backdrop are partially mitigated by the ongoing unfavorable FX outlook, GLP-1 concerns, potential tax liability, and rate environment. Our \$66 price target implies ~11% upside in the next ~10 months plus a ~3% dividend yield. We think the aforementioned overhangs are contemplated in current valuation, creating favorable risk/reward.

## Performance Drivers



| Factors                        | 6M Corr | 1Y Corr |
|--------------------------------|---------|---------|
| <b>Market:</b> MSCI US         | 0.27    | 0.21    |
| <b>Sect:</b> Cons Staples      | 0.86    | 0.86    |
| <b>Ind:</b> Food Bev & Tobacco | 0.75    | 0.80    |
| <b>Macro:</b>                  |         |         |
| US Dollar                      | -0.35   | -0.24   |
| Non-Energy Commodity           | 0.41    | 0.22    |
| US 10yr yield                  | -0.25   | -0.18   |
| <b>Quant Styles:</b>           |         |         |
| Growth                         | -0.58   | -0.50   |
| LowVol                         | 0.01    | 0.36    |
| DivYld                         | 0.33    | 0.24    |

Source: J.P. Morgan Quantitative and Derivatives Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

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- **A Number of Puts and Takes to the OSG Outlook (as Well as Further Down the P&L), but High-End of +6-7% Guide Seems Achievable Given Building Blocks and Consistency Over Past Number of Years.** Despite the year-to-year volatility in the operating environment, taking a long-term perspective KO has delivered a 5Y unit case volume CAGR of +2% and price/mix CAGR of around +6%, which puts the company comfortably above the high-end of its long-term algorithm of +4-6%. Most important is the volume performance (also +2% in 2023), which we believe is a better indicator of the sustainability and quality of the OSG performance looking ahead. There has been benefit in recent years from higher inflation across many markets and in 2023 there was also a tailwind from hyperinflationary markets (e.g., in 4Q23 of 9% price/mix roughly 3.5 points driven by hyperinflationary markets), which should largely normalize across 2024 (although more tailwind to top-line from hyperinflation in 1H24). That said, from an underlying perspective, price/mix remains firmly in the 3.5-4.0 point range, which combined with ~2 point unit case volume performance would still put the company toward the upper-end of the LT algorithm before layering on hyperinflationary markets impact. As such, while there are some puts and takes (e.g., Middle East conflict impact ~1 point to 4Q23 and likely to continue near-term, potentially soft start to year in China, weaker low-end consumer in U.S. and Europe), we see KO's balance of volume-driving D&E markets and value-led Developed markets as putting the company in a good position to land at the high-end of guidance for 2024. Net-net, we now model for OSG of +7.0% (volume +1.7%, price/mix +5.3%) from our prior estimate of +5.9% (volume +1.9%, price/mix +4.0%).
- **Some Choppiness to EPS Delivery Given Timing and Hyperinflation Impacts.** We expect delivery of +4-5% comparable EPS growth to be choppy in 2024 with roughly 85% coming in 2Q-4Q. FX headwinds are expected to be a roughly -8% headwind to EPS growth in 1Q24 (-4% to -5% for all of 2024) on top of a -1% headwind from bottler refranchising (-2% for all of 2024). Additionally there's one fewer calendar day in the quarter and there will also likely de-stocking in certain regions (e.g., LatAm and EMEA) following a benefit in 4Q23 and ongoing headwind from softer Middle East (management cited a 1 point hit to consolidated volumes in 4Q23). As such, while the EPS comparisons are the easiest of the year (lapping ~5% growth vs. ~8% for 2023 total), we think the cadence of growth will be more back-weighted. That said, even as hyperinflation tailwind to OSG moderates and more normalized price/mix flows through, we expect better OSG delivery as volume comparisons ease and stronger underlying margin expansion, and offsetting some of the 1Q24 headwind there are 2 extra calendar days in 4Q24. Most of the margin expansion in 2024 will be driven by bottler refranchising (Philippines transaction expected to close end of February), but we also see potential for leverage as inflation likely runs at a more normal +LSD% level and there's greater flexibility on marketing following +mid-teens% increase in 2023. Below the line, we believe the company is building in higher net interest expense in anticipation of funding escrow payment to appeal the U.S. Tax Court ruling (i.e., roughly \$6B incremental debt in 2H24 at prevailing rates, or a few pennies headwind to EPS in 2024. We now model for 2024 EPS of \$2.82 (+4.9% YOY) vs. our prior estimate of \$2.80.
- **Solid Cash Flow Delivery on Underlying Basis Should Continue; Balance Sheet Flexibility.** 2023 FCF came in at \$9.7B, which exceeded guidance of \$9.5B on strong operating cash flows (\$11.6B vs. guidance \$11.4B). Excluding transition tax and M&A related payments recognized in cash flow from operations, we estimate KO's 2023 FCF conversion would have been roughly 92%, in line with long-term

guidance for 90-95% FCF conversion. 2024 (and 2025 for that matter) will continue to be impacted even more so by transition tax and M&A related payments (i.e., expectations for 2024 transition tax \$960M, or \$240M higher YOY, and M&A payments \$560M, or \$330M higher YOY) but underlying performance remains strong (i.e., ex-these items we estimate 2024 FCF conversion would be close to 90%). Underlying cash flow generation and low leverage (now ~1.7x including bottler equity income vs. LT target range 2.0-2.5x) provides ample balance sheet flexibility to handle aforementioned escrow payment to fund tax appeal while also reinvesting into the business (e.g., additional capacity for India and fairlife) and driving shareholder returns (e.g., growing dividends and share repurchases - company repurchased \$1.2B shares in excess of share-based compensation in anticipation of bottler refranchising proceeds).

- **2024 Guidance Summary - Top-Line Ahead of Consensus While EPS In-Line.** KO is guiding to 2024 OSG +6-7%, which was ahead of the Street into the print (CM +6.3%) and EPS growth of +4-5%, or about \$2.80-\$2.82 (consensus into print \$2.81). The top-line outlook includes a -2% to -3% headwind from FX (vs. -LSD% before) and a -4% to -5% headwind from structural changes. The EPS outlook includes a -4% to -5% headwind from FX (vs. -MSD% before) and a -2% headwind from structural changes. KO is expecting 2024 FCF of about \$9.2B based on \$11.4B cash flow from operations and \$2.2B capital expenditures. 1Q24 has one additional day vs. 1Q23 while 4Q24 has two additional days vs. 4Q23. For 1Q24 the company is expecting FX to be a -4% headwind to the top-line and -8% headwind to EPS and for structural changes to be a -2% headwind to the top-line and -1% headwind to EPS.
- **4Q23 Recap.** KO reported 4Q23 adjusted EPS of \$0.49, which exceeded JPMe \$0.48, matched consensus, and beat the implied company guidance of \$0.45-\$0.48. Relative to JPMe, upside was driven by better than expected top-line (+\$0.01 vs. JPMe) and gross margins (+\$0.01 vs. JPMe), which more than offset higher than expected SG&A (-\$0.01 vs. JPMe) while below the line items netted to de minimis impact. OSG of +12% (concentrate shipment basis) came in ahead of JPMe/Consensus Metrix (CM) +9.6%/+9.2% driven by +9% price/mix (vs. JPMe/CM +6.5%/+6.2%) and concentrate shipments +3% (vs. JPMe/CM +3.1%/+3.0%). Unit case volume growth of +2% matched JPMe/CM (as such, OSG using unit case volume of +11% compares with JPMe/CM +8.6%/+8.3%). Gross margins of 57.8% expanded +138 bps YOY and came in ahead of JPMe/consensus 57.1%/57.2% with underlying gross margins expanding ~200 bps, FX a -70 bps headwind, and refranchising a +10 bps tailwind. SG&A ratio of 34.7% was 101 bps unfavorable YOY and was above JPMe/consensus 34.0%/34.0%. Operating margin of 23.1% (+37 bps YOY) was essentially in-line with JPMe/consensus 23.2%/23.2% with 180 bps underlying EBIT margin expansion and a roughly -140 bps FX headwind.

## Investment Thesis, Valuation and Risks

### Coca-Cola (Overweight; Price Target: \$66.00)

#### Investment Thesis

We have an Overweight rating on KO shares. We think Coca-Cola will benefit from economies reopening, and it is well positioned to reaccelerate organic growth toward the top end of its long-term 4-6% range. KO has undergone a deep positive transformation over the past few years by improving its sales portfolio, refranchising and consolidating bottling assets globally, setting up new systems and procurement in the US, shifting focus from volume to value growth, and transitioning senior management, all of which give us confidence in the underlying fundamentals of the business. While the multi-billion-dollar dispute with the IRS and FX are overhangs, we think these are already reflected in the share price.

#### Valuation

Our Dec 2024 price target is \$66, based on 21.9x P/E (1-year average multiple) our 2025 estimates as top-line momentum, better ability to pass through cost inflation, and defensive nature in an uncertain macro backdrop are partially mitigated by the ongoing unfavorable FX outlook, GLP-1 concerns, potential tax liability, and rate environment. Our \$66 price target implies ~11% upside in the next ~10 months plus a ~3% dividend yield. We think the aforementioned overhangs are contemplated in current valuation, creating favorable risk/reward.

#### Risks to Rating and Price Target

Downside risks to our Overweight rating and price target include (1) negative resolution in the tax dispute with the IRS (not contemplated in our model); (2) the uncertainty around potential impact of GLP-1 drugs on demand longer-term; (3) further margin de-leverage because of inflationary headwinds and/or volume losses; and (4) increasingly unfavorable FX movements—all of which could drive further negative earnings revisions.



## Coca-Cola: Summary of Financials

| Income Statement - Annual           |          |          |          |          |       | Income Statement - Quarterly |         |         |         |         |       |
|-------------------------------------|----------|----------|----------|----------|-------|------------------------------|---------|---------|---------|---------|-------|
|                                     | FY22A    | FY23A    | FY24E    | FY25E    | FY26E |                              | 1Q24E   | 2Q24E   | 3Q24E   | 4Q24E   |       |
| Revenue                             | 43,046   | 45,784   | 46,500   | 48,515   | -     | Revenue                      | 10,971  | 12,061  | 12,132  | 11,337  | -     |
| COGS                                | (17,817) | (18,465) | (18,076) | (18,730) | -     | COGS                         | (4,232) | (4,680) | (4,576) | (4,588) | -     |
| Gross profit                        | 25,229   | 27,319   | 28,424   | 29,785   | -     | Gross profit                 | 6,739   | 7,380   | 7,556   | 6,748   | -     |
| SG&A                                | (12,884) | (13,983) | (14,436) | (14,974) | -     | SG&A                         | (3,223) | (3,403) | (3,808) | (4,002) | -     |
| Adj. EBITDA                         | 13,605   | 14,464   | 15,119   | 16,091   | -     | Adj. EBITDA                  | 3,789   | 4,248   | 4,035   | 3,047   | -     |
| D&A                                 | (1,260)  | (1,128)  | (1,132)  | (1,279)  | -     | D&A                          | (273)   | (270)   | (288)   | (300)   | -     |
| Adj. EBIT                           | 12,345   | 13,336   | 13,988   | 14,812   | -     | Adj. EBIT                    | 3,516   | 3,977   | 3,748   | 2,747   | -     |
| Net Interest                        | (457)    | (645)    | (757)    | (886)    | -     | Net Interest                 | (153)   | (149)   | (231)   | (223)   | -     |
| Adj. PBT                            | 13,377   | 14,403   | 15,098   | 16,067   | -     | Adj. PBT                     | 3,729   | 4,400   | 4,092   | 2,878   | -     |
| Tax                                 | (2,545)  | (2,737)  | (2,899)  | (3,085)  | -     | Tax                          | (716)   | (845)   | (786)   | (552)   | -     |
| Minority Interest                   | (29)     | 11       | 31       | 51       | -     | Minority Interest            | (1)     | 31      | 9       | (8)     | -     |
| Adj. Net Income                     | 10,803   | 11,677   | 12,230   | 13,033   | -     | Adj. Net Income              | 3,012   | 3,586   | 3,315   | 2,317   | -     |
| Reported EPS                        | 2.48     | 2.69     | 2.82     | 3.01     | -     | Reported EPS                 | 0.70    | 0.83    | 0.77    | 0.54    | -     |
| Adj. EPS                            | 2.48     | 2.69     | 2.82     | 3.01     | -     | Adj. EPS                     | 0.70    | 0.83    | 0.77    | 0.54    | -     |
| DPS                                 | 1.75     | 1.83     | 1.90     | 2.01     | -     | DPS                          | 0.47    | 0.47    | 0.47    | 0.47    | -     |
| Payout ratio                        | 70.5%    | 68.1%    | 67.2%    | 66.8%    | -     | Payout ratio                 | 68.2%   | 57.3%   | 61.9%   | 88.6%   | -     |
| Shares outstanding                  | 4,351    | 4,339    | 4,330    | 4,330    | -     | Shares outstanding           | 4,330   | 4,330   | 4,330   | 4,330   | -     |
| Balance Sheet & Cash Flow Statement |          |          |          |          |       | Ratio Analysis               |         |         |         |         |       |
|                                     | FY22A    | FY23A    | FY24E    | FY25E    | FY26E |                              | FY22A   | FY23A   | FY24E   | FY25E   | FY26E |
| Cash and cash equivalents           | 9,519    | 9,366    | 8,111    | 6,481    | -     | Gross margin                 | 58.6%   | 59.7%   | 61.1%   | 61.4%   | -     |
| Accounts receivable                 | 3,487    | 3,410    | 3,779    | 4,097    | -     | EBITDA margin                | 31.6%   | 31.6%   | 32.5%   | 33.2%   | -     |
| Inventories                         | 4,233    | 4,424    | 4,396    | 4,644    | -     | EBIT margin                  | 28.7%   | 29.1%   | 30.1%   | 30.5%   | -     |
| Other current assets                | 5,352    | 9,532    | 9,499    | 9,782    | -     | Net profit margin            | 25.1%   | 25.5%   | 26.3%   | 26.9%   | -     |
| Current assets                      | 22,591   | 26,732   | 25,786   | 25,004   | -     | ROE                          | 45.9%   | 46.7%   | 45.2%   | 43.3%   | -     |
| PP&E                                | 9,841    | 9,236    | 10,322   | 11,362   | -     | ROA                          | 11.5%   | 12.3%   | 12.1%   | 12.5%   | -     |
| LT investments                      | 501      | 118      | 118      | 118      | -     | ROCE                         | 15.7%   | 16.8%   | 16.3%   | 16.6%   | -     |
| Other non current assets            | 59,830   | 61,617   | 67,617   | 67,617   | -     | SG&A/Sales                   | 29.9%   | 30.5%   | 31.0%   | 30.9%   | -     |
| Total assets                        | 92,763   | 97,703   | 103,843  | 104,100  | -     | Net debt/equity              | 1.1     | 1.1     | 1.2     | 1.0     | -     |
| Short term borrowings               | 2,373    | 4,557    | 4,557    | 4,557    | -     | P/E (x)                      | 23.9    | 22.1    | 21.0    | 19.7    | -     |
| Payables                            | 15,749   | 15,485   | 15,388   | 16,070   | -     | P/BV (x)                     | 10.7    | 9.9     | 9.1     | 8.0     | -     |
| Other short term liabilities        | 1,602    | 3,529    | 3,585    | 3,144    | -     | EV/EBITDA (x)                | 19.9    | 18.7    | 18.2    | 17.0    | -     |
| Current liabilities                 | 19,724   | 23,571   | 23,530   | 23,771   | -     | Dividend Yield               | 2.9%    | 3.1%    | 3.2%    | 3.4%    | -     |
| Long-term debt                      | 36,377   | 35,547   | 39,547   | 35,547   | -     | Sales/Assets (x)             | 0.5     | 0.5     | 0.5     | 0.5     | -     |
| Other long term liabilities         | 10,836   | 11,105   | 11,105   | 11,105   | -     | Interest cover (x)           | 29.8    | 22.4    | 20.0    | 18.2    | -     |
| Total liabilities                   | 66,937   | 70,223   | 74,182   | 70,423   | -     | Operating leverage           | 98.0%   | 126.2%  | 312.4%  | 136.0%  | -     |
| Shareholders' equity                | 24,105   | 25,941   | 28,123   | 32,138   | -     | Revenue y/y Growth           | 11.4%   | 6.4%    | 1.6%    | 4.3%    | -     |
| Minority interests                  | 1,721    | 1,539    | 1,539    | 1,539    | -     | EBITDA y/y Growth            | 8.3%    | 6.3%    | 4.5%    | 6.4%    | -     |
| Total liabilities & equity          | 92,763   | 97,703   | 103,843  | 104,100  | -     | Tax rate                     | 19.0%   | 19.0%   | 19.2%   | 19.2%   | -     |
| BVPS                                | 5.54     | 5.98     | 6.49     | 7.42     | -     | Adj. Net Income y/y Growth   | 7.1%    | 8.1%    | 4.7%    | 6.6%    | -     |
| y/y Growth                          | 4.5%     | 7.9%     | 8.6%     | 14.3%    | -     | EPS y/y Growth               | 6.8%    | 8.4%    | 4.9%    | 6.6%    | -     |
| Net debt/(cash)                     | 28,587   | 29,701   | 34,956   | 32,586   | -     | DPS y/y Growth               | 4.8%    | 4.7%    | 3.5%    | 5.9%    | -     |
| Cash flow from operating activities | 11,018   | 11,599   | 11,492   | 13,705   | -     |                              |         |         |         |         |       |
| o/w Depreciation & amortization     | 1,260    | 1,128    | 1,132    | 1,279    | -     |                              |         |         |         |         |       |
| o/w Changes in working capital      | (605)    | (846)    | (406)    | (166)    | -     |                              |         |         |         |         |       |
| Cash flow from investing activities | (763)    | (3,349)  | (2,218)  | (2,318)  | -     |                              |         |         |         |         |       |
| o/w Capital expenditure             | (1,484)  | (1,852)  | (2,218)  | (2,318)  | -     |                              |         |         |         |         |       |
| as % of sales                       | 3.4%     | 4.0%     | 4.8%     | 4.8%     | -     |                              |         |         |         |         |       |
| Cash flow from financing activities | (10,250) | (8,310)  | (10,529) | (13,017) | -     |                              |         |         |         |         |       |
| o/w Dividends paid                  | (7,616)  | (7,952)  | (8,217)  | (8,706)  | -     |                              |         |         |         |         |       |
| o/w Net debt issued/(repaid)        | (958)    | 1,857    | 4,000    | (4,000)  | -     |                              |         |         |         |         |       |
| Net change in cash                  | (200)    | (133)    | (1,255)  | (1,631)  | -     |                              |         |         |         |         |       |
| Adj. Free cash flow to firm         | 9,534    | 9,747    | 9,274    | 11,387   | -     |                              |         |         |         |         |       |
| y/y Growth                          | (15.3%)  | 2.2%     | (4.9%)   | 22.8%    | -     |                              |         |         |         |         |       |

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

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Coca-Cola (KO, KO US) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.  
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